Palantir Technologies Inc.

PLTR NYSE

Hold	$166.41 ▼ 1.65%	12M Price Target $180.00	52-Week Range $106.37 – $212.94	Market Cap $400.96B

PLTR: Post-Midterm Jitters Meet Defense Spending Tailwind

WHAT HAPPENED

- PLTR is down 1.65% today and got smacked ~10% last Wednesday (Nov 5) — the Motley Fool piece flags it as one of the "midterm meltdown" tech names, meaning the market is repricing high-flyers now that the political picture has shifted post-election. Translation: investors are nervous that the new Congress could disrupt the federal spending gravy train that's been feeding Palantir.
- Insiders (directors Friedman and Moore) sold ~$1.15M worth of stock at $186-195 right before this pullback. That's not a crisis, but when directors cluster-sell near highs, it usually means they think the easy money has been made in the near term.

WHY IT MATTERS

Here's what I'm really thinking: the stock is caught between two opposing forces right now. On one hand, the defense/AI spending theme is structurally bullish — the Pentagon's AI budget keeps growing, and Palantir's Maven and TITAN contracts are sticky. On the other hand, at a $401B market cap trading at ~85x sales, there's zero room for error, and midterm results have introduced uncertainty about whether appropriations keep flowing as fast. The options market is leaning bullish (put/call 0.73) while insiders are selling — that disconnect tells me retail is still piling in while the people who know the business are taking chips off the table. That's historically a late-stage setup, not an early-innings one.

POLICY & POLITICAL WATCH

Key thing to watch: the FY2027 defense appropriations bill and whether the new Congress keeps the AI/software modernization line items intact — Palantir's government segment (~55% of revenue) depends on these flows. Also on the radar: any executive action on federal AI procurement standards; PLTR is already FedRAMP High and IL6 certified, so tighter rules actually widen their moat against smaller competitors. The California billionaires tax failing (per Barron's) is a mild positive for tech wealth/sentiment but not a direct PLTR catalyst. Watch for export control changes on AI software to allies — commercial international growth depends on this.

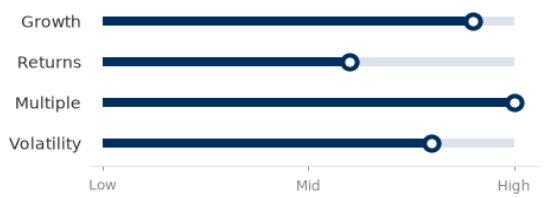
IS IT EXPENSIVE?

This is the elephant in the room: at ~85x forward revenue and ~230x forward earnings, investors are paying $85 for every $1 of sales PLTR will do next year — versus peers like Snowflake or CrowdStrike trading at $15-20 per $1 of sales. That's not just premium, that's a different zip code. The only way to justify it is if you believe PLTR becomes the default AI operating system for both the US government and the Global 2000 — possible, but priced for perfection means any slowdown gets punished hard (see: the -10% day last week).

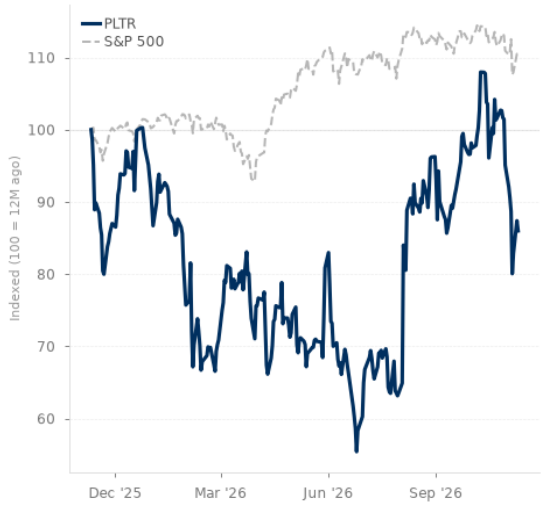
Key Data

Price (USD)	**$166.41**
12M Price Target	**$180.00**
Upside / (Downside)	**+8.2%**
Market Cap	**$400.96B**
FY2026E Revenue	**$4,850M**
FY2027E Revenue	**$6,400M**
FY2026E EPS	**$0.72**
FY2027E EPS	**$0.95**
Fwd P/E	**231.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$185.00**	$170.00	**$148.00**
6 Months	**$220.00**	$180.00	**$135.00**
1 Year	**$250.00**	$190.00	**$120.00**
2 Years	**$310.00**	$220.00	**$110.00**
5 Years	**$450.00**	$300.00	**$130.00**
10 Years	**$700.00**	$420.00	**$150.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Financials (+2.1% 5D) and Communication Services (+5.9% 5D) — money is rotating toward rate-sensitive and mega-cap quality post-election as investors position for a more pro-business Congress.

COOLING OFF: Energy (-6.6% 5D) is getting smoked on demand concerns and softer oil. High-multiple software (where PLTR lives) is seeing profit-taking after a monster run.

ROTATION WATCH: The rotation is from "story stocks" to "earnings stocks" — investors are trimming names where the valuation outruns the fundamentals. PLTR fits that description right now, which explains the pullback.

RELATED PLAY: If you want the AI/defense theme with less valuation risk, look at the defense primes (LMT, RTX) that are integrating PLTR's software — they get the tailwind without the 85x sales multiple.

WHO'S WINNING IN THIS SPACE?

- ANET (Arista Networks): AI data center networking buildout continues; trading at more reasonable multiples with real earnings
- CRWD (CrowdStrike): Cybersecurity spending is recession-proof and federal budget priority; benefiting from same gov modernization theme

PLTR CONTEXT: PLTR is lagging its software peers this week after leading them for most of 2026 — classic high-beta behavior where it leads on the way up and leads on the way down. The fact that it's only at 56% of its 52-week range despite the pullback tells you how massive the prior run was. Mean reversion risk is real.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — The business is genuinely excellent, but the stock price has front-run a lot of the good news; cautiously optimistic, not table-pounding.

POSITION SIZE: Keep it to 2-3% of the portfolio — the volatility (8/10) means a bigger position will give you heartburn, and the valuation means drawdowns can be brutal.

ENTRY POINTS: I'd be a buyer in the $150-155 zone, which is where the stock has found support twice. Chasing above $175 feels like paying up for FOMO.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is clarity on FY2027 defense appropriations and the next two earnings prints to confirm commercial growth holds >50%.

WHEN TO BAIL: If government revenue growth drops below 30% YoY, if they lose a major DoD contract, or if Karp signals any strategic shift away from the current playbook — any of those and I'm trimming hard.

HEDGING: Simplest hedge — buy some out-of-the-money put options as insurance, which is like paying a small premium so that if the stock crashes, you get paid. Or just own less of it so a 30% drop doesn't ruin your week.

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